

# Bernstein Energy & Power: Falling in love with an accounting standard? Hmm... Will it be in Jan 2027 with the new IFRS 18 ? A playbook.

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By Guillaume Delaby

## DINING WITH 'SUPER-ACCOUNTANTS'

Accountants are often disdained in the financial world. This is foolish. While 'super financiers' may not always be 'super accountants', 'super-accountants' can often be 'super financiers'.

'Super accountants' are like sommeliers, musicians, polyglots or readers of Proust's "In search of lost time" – they have something like a sixth sense that makes them special. They can see, hear and touch what is invisible.

A 'super-accountant' is therefore an accountant who sees things that other (skilled) accountants do not.

EXHIBIT 1: **Accountants see what is visible (e.g. IFRS vs GAAP).**

| IFRS                                              | GAAP                                                            |
|---------------------------------------------------|-----------------------------------------------------------------|
| International accounting standards board (IASB)   | Financial accounting standards board (FASB)                     |
| More principle-based.                             | More rule-based.                                                |
| Permits FIFO and average cost methods.            | Generally requires FIFO.                                        |
| Permits use for inventory valuation.              | Prohibits use for inventory.                                    |
| Permits revaluation of non-financial assets.      | Generally does not allow revaluation.                           |
| Does not separately identify extraordinary items. | Separately identifies extraordinary items.                      |
| Requires periodic assessment.                     | Requires assessment when indicators arise.                      |
| Recognizes if probable and reliably measured.     | Recognizes if probable and estimable.                           |
| Emphasizes "fair presentation".                   | Focuses on specific rules and formats.                          |
| Uses equity method for joint ventures.            | Prohibits equity method but allows proportionate consolidation. |

Source: LinkedIn

EXHIBIT 2: **Super-accountants - like sommeliers - can see what is invisible**



Source: Vinatis, Bernstein analysis

Some of those super-accountants started their career in the early 2010s at legacy Technip. Many of them are now CFOs of large European companies.

Having studied history and political science, I am obviously not part of this (informal) club of 'super accountants'. I nonetheless know a few of them who have become good friends, which we would define as 'nice people who you enjoy having dinner and a bottle of a Grand Cru Classé with on a Saturday evening'.

## TWO PLAUSIBLE (SATURDAY EVENING) DINNER QUESTIONS

Two interesting (somewhat plausible) Saturday evening dinner questions might be:

1. In January 2027, will I fall in love with the new IFRS 18 standard?
2. More broadly speaking, can a human being, an Agentic AI with an ego, or even a company, fall in love with an accounting standard?

## TWO SERIOUS (MONDAY MORNING) ANSWERS

We felt these potential 'Saturday night' questions warranted some serious 'Monday morning' consideration. We therefore looked at:

1. The pros and cons of IFRS 18 to be introduced in January 2027: a playbook.
2. Technip Energies, to demonstrate how a company - not a human or an Agentic AI this time - *actually did* 'fall in love' with an accounting standard, namely IFRS 15 back in January 2018.

## IAS 1 WAS SOMEWHAT VAGUE....

Adopted in April 2001, IAS 1 was a trade-off between history and geography. Given that it needed to ensure comparability between *previous periods* and *different national accounting systems*, it had to be quite vague. As noted by the always insightful “La lettre Vernimmen”, there was no (mandatory) mention of “operating income” or “recurring pre-tax income”. The IAS 1 standard only required companies to disclose:

1. Revenue
2. Post-tax profit from continuing operations
3. Results from discontinued operations
4. Net income

## ...WHILE THE NEW IFRS 18 STANDARD MIGHT WIN SOME ADMIRERS!

The [new IFRS 18 standard](#) will replace IAS 1 on 1 January 2027. It introduces significant changes which relate to:

1. The income statement
2. Management-defined Performance Measures (MPMs)
3. Aggregation and disaggregation
4. Cash flow statement
5. Balance sheet

## 1. IFRS 18 - THE INCOME STATEMENT

The new IFRS 18 requires companies to disclose FIVE CATEGORIES and FIVE SUBTOTALS.

### FIVE CATEGORIES

Three of these five categories are new:

1. Operating
2. Investing
3. Financing

The two others remain unchanged (versus IAS1).

1. Income tax
2. Discontinued operations

### FIVE SUBTOTALS

Two of the five subtotals are new:

1. Operating profit or loss
2. Profit or loss before financing and income taxes

Three of them are carried forward from IAS 1:

1. Profit or loss
2. Total other comprehensive income
3. Total comprehensive income

Two other subtotals can also be added:

1. Gross profit or loss (only if a by-function or mixed presentation is used)
2. OPDAI (Other Profit before Depreciation, Amortisation and Impairment). This is a proxy for EBITDA (only if a by-nature or mixed presentation method is used)

### EXHIBIT 3: Income statement under IFRS 18 = FIVE CATEGORIES + FIVE SUBTOTALS.

| Statement of profit or loss – general corporate (operating expenses by function)         |     |                         |
|------------------------------------------------------------------------------------------|-----|-------------------------|
| Line item                                                                                | CU  | Category                |
| Revenue                                                                                  | X   | Operating               |
| Cost of goods sold                                                                       | (X) | Operating               |
| Gross profit                                                                             | X   | Operating               |
| Selling expenses                                                                         | (X) | Operating               |
| General and administrative expenses                                                      | (X) | Operating               |
| Research and development expenses                                                        | (X) | Operating               |
| Operating profit                                                                         | X   | Required subtotal       |
| Share of profit from associates and joint ventures accounted for using the equity method | X   | Investing               |
| Interest income from cash and cash equivalents                                           | X   | Investing               |
| Profit before financing and income tax                                                   | X   | Required subtotal       |
| Interest expense on borrowings                                                           | (X) | Financing               |
| Interest expense on other liabilities                                                    | (X) | Financing               |
| Profit before income tax                                                                 | X   | Required subtotal       |
| Income tax expense                                                                       | (X) | Income tax              |
| Profit from continuing operations                                                        | X   | Required subtotal       |
| Loss from discontinued operations                                                        | (X) | Discontinued operations |
| Profit for the year                                                                      | X   | Required subtotal       |

Source: PWC, Bernstein analysis

## 2. IFRS 18 - MANAGEMENT-DEFINED PERFORMANCE MEASURES (MPMS)

The biggest change is that Management-defined Performance Measures are now transparently disclosed in the financial statements. IFRS18 defines MPMS as subtotals of income and expenses that:

1. Are used in public communications statements (press release, presentation)

2. Are a subtotal of income and expenses *which are not a required subtotal* (this includes gross profit or OPDAI)

### 3. IFRS 18- AGGREGATION AND DISAGGREGATION

“Aggregated” simply means sharing similar characteristics. “Disaggregated” refers to items with dissimilar characteristics. Similar characteristics mean grouping items by nature, function, measurement basis, size, geographical locations and regulatory environment.

The name of the game here is **to contrast**:

- “Primary financial statements”, which are more “aggregated”. Primary financial statements provide a structured summary of the economic reality

**with**

- “Notes”, which are more “disaggregated”. The notes provide supplementary material information.

### 4. IFRS 18- CASH FLOW STATEMENT (THE ATTRACTIVE INDIRECT METHOD IS NOW REQUIRED!)

This is what makes the new IFRS 18 so attractive. The new IFRS 18 requires firms to use the indirect method, i.e. that starts with operating profit/EBITDA (rather than net income).

This indirect method had always been favoured by investors and disliked by companies (because it is much more informative). This is a big positive.

**EXHIBIT 4: Falling in love with IFRS 18? It's the requirement to present the cash flow statement using the indirect method (i.e. starting with operating income rather than net income) that makes it attractive!**



Source: Eventquick, Bernstein analysis

Another positive change is that IFRS 18 includes an amendment to IAS 7 that makes it compulsory to disclose the amount of interest paid (now only in financing), interest received (now only in investing),

dividends received (now only in investing) and dividends paid (now only in financing).

**EXHIBIT 5: Interest paid, interest received, dividend paid and dividend received are now classified in a mandatory way.**

| Entities <i>without</i> specified main business activities |                        |               |
|------------------------------------------------------------|------------------------|---------------|
| Cash flow items                                            | Current IAS 7*         | Amended IAS 7 |
| Interest paid                                              | Operating or financing | Financing     |
| Interest received                                          | Operating or investing | Investing     |
| Dividends received                                         | Operating or investing | Investing     |
| Dividends paid                                             | Operating or financing | Financing     |

Source: KPMG, Bernstein analysis

### 5. IFRS 18 - BALANCE SHEET: GOODWILL MUST NOW BE SHOWN ON A SEPARATE LINE.

IFRS 18 introduces a new requirement for goodwill to be presented as a line item in the balance sheet. We also view this positively.

### FALLING IN LOVE WITH IFRS 18 ? HMM...OUR FIRST DISAPPOINTMENT

Our first disappointment is that the IASB has once again sidestepped the issue of defining non-recurring items.

Non-recurring items are key for investors and analysts who try to estimate the amount of 'recurring earnings' that are likely to recur regularly. As a result, the "operating" category is not defined as such. It is rather a residual balance of all income and expenses that have not fallen into the other four categories.

- The positive news is that all companies will now have the same definition of operating profit (as imposed by IFRS 18)
- The negative news is that it will still be up to analysts to determine recurring operating profit
- One could argue that many companies had already taken the initiative to calculate and disclose their own 'recurring profit'. However, each company nonetheless makes its own definition of non-recurring items.

### FALLING IN LOVE WITH IFRS 18? HMM... OUR SECOND DISAPPOINTMENT

Our second disappointment is the elimination of the company's financial result.

- Financial income from cash investments is now assigned to the Investment function

- Financial expenses from gross debt is now assigned to the Financing function

These two categories are now separated, and a new accounting subtotal must be presented: profit before financing and tax. Financial income from cash investments is now presented alongside rental income, capital gains from investment properties, dividends and gains or losses from unconsolidated equity interests, and the share of results from equity-accounted companies.

This sounds a little bit philosophical, but would you consider, as IFRS 18 does, financial income from excess cash as simply a return on investment like any other?

**So, what about you? Will you fall in love with IFRS 18 in January 2027 (as Technip Energies fell in love with IFRS 15 in January 2018)?**

We can now move to our second question. The reason why Technip Energies fell in love with IFRS 15 in January 2018, in our view, is that it enabled the as-yet unlisted company to discreetly grow its net cash pile.

## HOW TECHNIP ENERGIES FELL IN LOVE WITH IFRS 15 IN JANUARY 2018

By falling in love with IFRS 15 in January 2018, we mean that the soon to come Technip Energies - as it was still consolidated under the roof of TechnipFMC - made good use of the accounting standard. Opting to provide minimum details on the components of its net cash aggregate served the purpose of relative discretion regarding the breakdown of its net cash balance through the proper use of IFRS 15.

For a long time Technip Energies disclosed a broad indicator of net cash balance, with limited details about its components, including those coming from the use of IFRS 15. This lasted until the company's CMD in November 2024 when management provided extra information, including details on net contract liabilities (see exhibit 10). This information allowed us to understand that the net margins on contracts were higher than we had previously assumed, and that a larger than we thought proportion of net cash was related to trade receivables.

The use of the 'beloved' IFRS 15 standard combined with providing just enough detail had allowed the company to remain discreet on the breakdown of its cash balance. By providing further detail on that day in 2024, management converted that discretion into higher visibility ... to the benefit of the investment case in our view.

## IFRS 15 AND CONTRACT ASSET/LIABILITIES

Under "Revenue from Contracts with Customers", IFRS 15 provides that:

- An accounting — but not operating — definition of a contract asset, which *is a situation where the contractor is ahead of plans*, has more future rights than future obligations. This is an accounting definition. *It therefore does not automatically signal that the contractor is ahead of plans in the execution of the project.*
- An accounting — but not operating — definition of a contract liability, which *is a situation where the contractor is lagging plans*, has more future obligations than future rights. Once again, this is an accounting definition that does not automatically signal that the contractor is lagging plans in the effective execution of the project.

### EXHIBIT 6: Contract assets & contract liabilities



Source: KPMG

## LOVING SOMEONE WHO IS SIMILAR TO YOU?

In other words, contract assets and liabilities are essentially working capital items. They nonetheless have a somewhat specific nature.

- Contract assets are *similar in nature to trade receivables*. They can be current or non-current.
- Contract liabilities are *similar in nature to other operating liabilities*. They are always non-current liabilities.

## A LOOK AT TECHNIPFMC'S 2018 ANNUAL REPORT

TechnipFMC was created in 2017 as the merger between legacy Technip and legacy FMC Technologies. The name of the game was to create the world leader in subsea.

When the two companies were merged amid internal tensions and intense boardroom politics, we were surprised by the difference in how the two accounting teams operated.

As a US listed company incorporated in the UK, TechnipFMC needed to publish two annual reports: a 10-K US GAAP annual report and an IFRS annual report.

The IFRS annual report showed the impact of IFRS 15. The table below shows that net contract liabilities (NCL) increased by \$1.1bn between 2017 (\$1,677m) and 2018 (\$2,774m), largely because of IFRS 15.

### EXHIBIT 7: Net contract liabilities increased by \$1.1bn between 2017 and 2018

| \$m                             | 2017          | 2018          | \$ change     | % change   |
|---------------------------------|---------------|---------------|---------------|------------|
| Contract assets                 | 1,637         | 1,295         | -342          | -21%       |
| Contract liabilities            | 3,315         | 4,069         | -755          | -23%       |
| <b>Net contract liabilities</b> | <b>-1,677</b> | <b>-2,774</b> | <b>-1,097</b> | <b>65%</b> |

Source: TechnipFMC 2018 annual report

TechnipFMC provided the following explanation: *"the majority of the change in net contract assets (liabilities) was due to the adoption of IFRS 15. The adoption resulted in a net reclassification from net contract assets (liabilities) to trade receivables"*.

The table below added contract assets and trade receivables (which are similar in nature). It shows a 16% total increase (= -21% contract assets + 54% trade receivables)

### EXHIBIT 8: Contract assets and trade receivables are similar in nature

| \$m               | 2017         | 2018         | \$ change  | % change   |
|-------------------|--------------|--------------|------------|------------|
| Contract assets   | 1,637        | 1,295        | -342       | -21%       |
| Trade receivables | 1,603        | 2,468        | 865        | 54%        |
| <b>Total</b>      | <b>3,240</b> | <b>3,763</b> | <b>523</b> | <b>16%</b> |

Source: TechnipFMC

## IFRS 15 = RELATIONSHIP + GROSSING UP

Let's now add two more items.

- First, there may be a relationship between the 65% increase in net contract liabilities (Exhibit 7) and the 54% increase in trade

receivables (Exhibit 8). We would even suspect a somewhat linear relationship here. We see that for every increase of 100 in NCL, trade receivables grow by c.80.

- Second, the main feature of IFRS 15 (vs IAS 11 and 18) is that it *grosses up trade receivables, reduces contract assets and increases contract liabilities*.

The 2018 IFRS balance sheet below shows that:

- Trade receivables are 2.6x (+ \$1,513m to \$2,468m).
- Contract assets are reduced by c.25% (-\$450m to \$1,295m).
- Contract liabilities are increased by c.33% (+ \$1,116m to \$4,069m). **In other words, contract liabilities increase at a slower rate than trade receivables (where most of the additional cash is held)**. This is, on our very early understanding, the mechanism that has allowed Technip Energies, to build over the years what it describes as a real net cash position of c.€1.2bn today.

### EXHIBIT 9: 2018 balance sheet: IAS 11 vs IFRS 15

| Balance sheet €m                         | 2018 (IAS 11 & 18) | IFRS 15 effect | 2018          |
|------------------------------------------|--------------------|----------------|---------------|
| <b>Non current assets (1)</b>            | <b>13,368</b>      | <b>8</b>       | <b>13,376</b> |
| Trade receivables                        | 954                | 1,513          | 2,468         |
| Contract assets                          | 1,745              | -450           | 1,295         |
| Other                                    | 2,509              | -15            | 2,493         |
| Cash                                     | 5,542              |                | 5,542         |
| <b>Current assets (2)</b>                | <b>10,750</b>      | <b>1,048</b>   | <b>11,798</b> |
| <b>TOTAL ASSETS (1) + (2)</b>            | <b>24,117</b>      | <b>1,056</b>   | <b>25,174</b> |
| <b>Equity</b>                            | <b>10,509</b>      | <b>-77</b>     | <b>10,432</b> |
| <b>Non current liabilities</b>           | <b>3,708</b>       | <b>-2</b>      | <b>3,706</b>  |
| Account payables                         | 2,628              | 18             | 2,611         |
| Contract liabilities                     | 2,953              | 1,116          | 4,069         |
| Other                                    | 4,320              | 1              | 4,357         |
| <b>Current liabilities</b>               | <b>9,901</b>       | <b>1,135</b>   | <b>11,037</b> |
| <b>TOTAL LIABILITIES (1) + (2) + (3)</b> | <b>24,117</b>      | <b>1,056</b>   | <b>25,174</b> |

Source: TechnipFMC

## APPLICATION TO THE 9M24 BALANCE SHEET - WHY TECHNIP ENERGIES LOVED THE IFRS 15 STANDARD!

The first column presents our estimates of what the 9M24 balance sheet would have been if the old IAS standard was still in effect. The second one shows the simplified IFRS 15 BS at 9M24 as presented at the company's November 2024 CMD.

It is noteworthy that the IFRS 15 balance sheet shows a €2.7bn NCL (vs €1.7bn in IAS 11) and a €1.2bn receivables position (including a significant proportion in net cash).

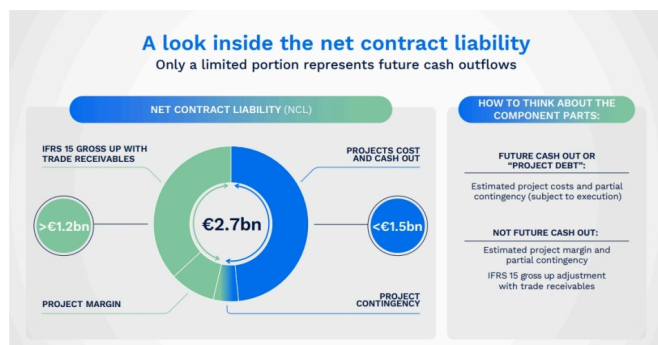
**EXHIBIT 10: Grossing up receivables and NCL: how IFRS 15 helped generate cash... and why Technip Energies loved it!**

| 9M24 balance sheet (€bn)                            | IAS 11      | IFRS 15     |
|-----------------------------------------------------|-------------|-------------|
| Goodwill                                            | 2.1         | 2.1         |
| Non-current assets                                  | 0.8         | 0.8         |
| Trade receivables                                   | 0.2         | 1.2         |
| Other current assets                                | 0.9         | 0.9         |
| Contract assets                                     | 0.6         | 0.6         |
| Cash                                                | 3.5         | 3.5         |
| <b>TOTAL ASSETS</b>                                 | <b>8.1</b>  | <b>9.1</b>  |
| Equity                                              | 2.0         | 2.0         |
| Non-current liabilities                             | 0.4         | 0.4         |
| Account payables                                    | 1.7         | 1.7         |
| Other current liabilities                           | 0.9         | 0.9         |
| Contract liabilities                                | 2.3         | 3.3         |
| Debt                                                | 0.8         | 0.8         |
| <b>TOTAL LIABILITIES</b>                            | <b>8.1</b>  | <b>9.1</b>  |
| Total receivables                                   | 0.2         | 1.2         |
| <b>NCL (contract assets - contract liabilities)</b> | <b>-1.7</b> | <b>-2.7</b> |

Source: Company, Bernstein analysis &amp; estimates

Source: Company, Bernstein analysis &amp; estimates

One of the highlights from the 2024 CMD is that Technip Energies now provides us with a breakdown of this €2.7bn NCL.

**EXHIBIT 11: There is a significant portion (c.45%) of net cash within the €2.7bn NCL**


Source: Company

Source: Bernstein analysis &amp; estimates, Company

The €2.7bn NCL comprises two components:

1. < €1.5bn (c.55%) in future project costs (of which c.€150m project contingency)
2. >€1.2bn in net cash (split into: c.70% IFRS15 grossed up with trade receivables, c.20% project margin and c.10% for contingency).

We acknowledge that this previous Technip Energies chart includes two new items of which we had been partly unaware:

1. The project margin represented c.10% of the NCL — whereas we had always tended to assume 5-6%.
2. Most (c.2/3) of the held net cash is in trade receivables. This leads to the following equation: **>€1.2bn held net cash = c.€840m in IFRS 15 trade receivables + c.€240m project margin + c.€120m contingencies.**

The "Trade Receivables" balance sheet item of c.€1.2bn is mainly made up of net cash (c.€840m).

## BERNSTEIN TICKER TABLE

| Ticker                        | Rating | 21 May 2026 |                  | Price<br>Target | TTM<br>Rel.<br>Perf. | Adjusted EPS |       |       |       | Adjusted P/E (x) |       |       |
|-------------------------------|--------|-------------|------------------|-----------------|----------------------|--------------|-------|-------|-------|------------------|-------|-------|
|                               |        | Cur         | Closing<br>Price |                 |                      | Cur          | 2025A | 2026E | 2027E | 2025A            | 2026E | 2027E |
| ADNOC.DRI.UH (Adnoc Drilling) | O      | AED         | 6.01             | 6.76            | 1.7%                 | USD          | 0.08  | 0.09  | 0.09  | 20.5             | 18.6  | 18.6  |
| ADNOCL.S.DH (Adnoc Logistics) | O      | AED         | 5.80             | 6.94            | 16.2%                | USD          | 0.10  | 0.11  | 0.11  | 15.1             | 15.0  | 14.1  |
| GTT.FP (GTT)                  | O      | EUR         | 203.20           | 245.00          | 14.4%                | EUR          | 12.24 | 10.07 | 10.75 | 16.6             | 20.2  | 18.9  |
| RUI.FP (Rubis)                | O      | EUR         | 35.32            | 38.70           | 9.5%                 | EUR          | 2.98  | 3.07  | 3.29  | 7.1              | 7.1   | 6.6   |
| SPM.IM (Saipem)               | O      | EUR         | 4.37             | 4.96            | 95.7%                | EUR          | 0.16  | 0.18  | 0.24  | 28.1             | 24.4  | 18.4  |
| SBMO.NA                       | O      | EUR         | 35.00            | 46.00           | 72.2%                | USD          | 3.85  | 4.50  | 3.23  | 10.5             | 9.0   | 12.6  |
| SLB (Schlumberger)            | O      | USD         | 57.28            | 71.00           | 41.7%                | USD          | 2.93  | 2.37  | 2.92  | 19.5             | 24.1  | 19.6  |
| SUBC.NO (Subsea 7)            | O      | NOK         | 324.40           | 240.00          | 78.2%                | USD          | 0.67  | 1.63  | 2.04  | 52.2             | 21.5  | 17.2  |
| TE.FP (Technip)               | O      | EUR         | 36.06            | 47.00           | (1.1)%               | EUR          | 2.47  | 2.34  | 2.82  | 14.6             | 15.4  | 12.8  |
| FTI                           | M      | USD         | 72.25            | 45.00           | 114.4%               | USD          | 1.83  | 2.24  | 2.84  | 39.4             | 32.3  | 25.4  |
| TEN.IM (Tenaris)              | O      | EUR         | 26.19            | 29.00           | 68.2%                | USD          | 1.83  | 1.96  | 1.93  | 16.6             | 15.5  | 15.8  |
| TS (Tenaris)                  | O      | USD         | 60.69            | 68.00           | 71.9%                | USD          | 3.66  | 3.92  | 3.86  | 16.6             | 15.5  | 15.7  |
| VK.FP (Vallourec)             | O      | EUR         | 24.27            | 29.00           | 29.3%                | EUR          | 1.50  | 1.65  | 2.15  | 16.2             | 14.8  | 11.3  |
| VIRI.FP (Viridien)            | O      | EUR         | 115.00           | 163.00          | 93.4%                | USD          | 9.89  | 6.82  | 13.23 | 4.0              | 4.5   | 4.0   |
| EDME                          |        |             | 1,536.79         |                 |                      |              |       |       |       |                  |       |       |
| SPX                           |        |             | 7,445.72         |                 |                      |              |       |       |       |                  |       |       |

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

TEN.IM, TS estimate is Reported EPS; RUI.FP, VIRI.FP valuation is EV/EBITDA (x); TEN.IM, TS valuation is Reported P/E (x); ADNOC.DRI.UH, ADNOCL.S.DH, SUBC.NO, FTI base year is 2024;

Source: Bloomberg, Bernstein estimates and analysis.



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